

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Venture-capital firms** are increasingly backing “neolab” startups, which give priority to long-term research and developing new AI models over immediate profits. **A1**
- ◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 and Nasdaq advancing 0.4% and 0.9%, respectively, and the Dow falling 0.8%. **B11**
- ◆ **The dollar notched** its biggest one-day decline since April’s tariff turmoil after Trump said he wasn’t concerned about the recent slide in the currency. **B1**
- ◆ **The global economy** has shown unexpected resilience in the face of a series of shocks, with the U.S. recording another year of surprisingly strong growth, the World Bank’s deputy chief economist said. **A2**
- ◆ **SoftBank is in talks** to invest up to \$30 billion in OpenAI, adding to the Japanese conglomerate’s already-large stake in the startup. **B4**
- ◆ **UPS said it expects** to cut an additional 30,000 operational positions this year as the company reported higher quarterly profit. **B1**
- ◆ **Stepped-up production** and deliveries of commercial jets helped fuel improvements in Boeing’s business in the latest quarter. **B1**
- ◆ **GM projected** higher-than-expected cash flows this year and promised to return more cash to investors despite an unsettled tariff environment and a costly retreat from EVs. **B1**
- ◆ **CBS News Editor** in Chief Bari Weiss said the network is “not producing a product that enough people want” and called for a radical shift in how it delivers the news. **B1**

Worldwide

- ◆ **Border czar Tom Homan** arrived in Minneapolis with immigration-related demands for Democratic leaders as he signaled the Trump administration wants to ease tensions there. **A1**
- ◆ **Rep. Ilhan Omar**, a frequent critic of Trump, was unhurt after being sprayed with an unknown liquid by an attacker at a town hall meeting in Minneapolis. **A4**
- ◆ **Trump defended** Noem amid mounting criticism of the Homeland Security secretary over her response to the latest killing in Minnesota. **A4**
- ◆ **India and the EU** reached a free-trade agreement, showing how the world’s middle powers are expanding alliances in response to Trump’s tariffs. **A7**
- ◆ **Canadian Prime Minister** Mark Carney said he told Trump that he stands by his call to arms in Davos against economic coercion. **A7**
- ◆ **Saudi Arabia ruled out** the use of its airspace for a potential U.S. attack on Iran, complicating Trump’s options to respond to Tehran’s violent crackdown on protesters. **A8**
- ◆ **TikTok settled** a lawsuit that alleges social-media platforms designed products meant to addict young people, avoiding a trial in California. **A3**
- ◆ **The families of two** Trinidadian men killed in a boat strike off Venezuela sued the U.S. in the first legal challenge to attacks Washington says are aimed at drug running. **A3**
- ◆ **Yale extended its** financial-aid program to more families, exempting from tuition students from households earning up to \$200,000. **A3**

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Rep. Omar Is Attacked at Town Hall in Minneapolis



Rep. Ilhan Omar was unhurt after a man charged at her and sprayed an unknown liquid on her Tuesday as she spoke at a town hall in Minneapolis. The attacker was tackled and taken into custody, while the Minnesota Democrat continued her event. **A4**

Trump Border Czar Signals Bid To Ease Tensions in Minnesota

Homan meets local leaders seeking concessions to trade for a drawdown

MINNEAPOLIS—Tom Homan, the White House border czar, arrived here with a series of demands for Minnesota’s Democratic leaders.

By Michelle Hackman, John McCormick and Joe Barrett

Topping the list: an agreement from them to turn over more immigrants from the state’s prisons and jails, people familiar with the matter said.

Homan’s task, the people said, is to secure what the administration can count as concessions from the state’s Democrats in exchange for a drawdown of federal agents. The biggest notable change thus far is that both sides appear to be talking to each other, and the city’s protests have been relatively muted. Homan met Tuesday with Gov. Tim Walz and Minneapolis Mayor Jacob Frey, two Democrats who had been warring with President Trump and Greg Bovino, the Border Patrol commander who until Monday was tasked with carrying out the administration’s controversial operation in the city. Bovino has since been re-

moved and sent back to his old post on the southern border. Walz was one of the first to meet with Homan. After a meeting at the state Capitol, his office said the governor called for “impartial investigations into the Minneapolis shootings involving federal agents, a swift, significant reduction in the number of federal forces in Minnesota, and an end to the campaign of retribution against Minnesota.” Frey said he told Homan that the city wouldn’t enforce federal immigration laws. Trump gave a more upbeat assessment. “I hear that’s all going very well,” the president said of Homan’s conversations with Walz and Frey.

Homan’s arrival was intended to mark a reset in the federal government’s relationship with the state. He is seen as likely to wind down the large, sweeping street arrests Bovino had been leading, in favor of a more targeted approach. The earlier tactics prompted protests and led to two fatal shootings on city streets. Homan’s model could set the tone for how federal immigration agents

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- ◆ **Observers in Minnesota press case.....** A4
- ◆ **Trump backs Noem amid bipartisan criticism.....** A4
- ◆ **Two officials fired shots at Alex Pretti.....** A5

No Sales? No Product? No Problem. AI Investors Still Eager.

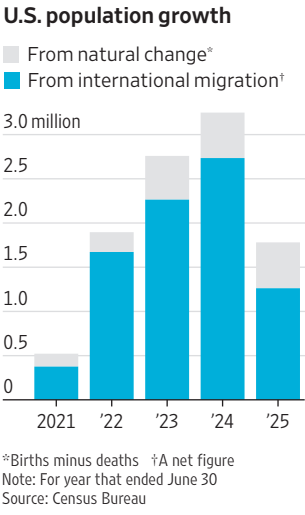
By KATE CLARK

Ben Spector had an unusual pitch for investors last fall. A Ph.D. student at Stanford University with a highly prized artificial-intelligence background, Spector had no near-term plans to make money and no traditional pitch deck. He didn’t even have an idea for a hit AI product. What he did have was a lab, called Flapping Airplanes, a novel idea for training AI models and a zeal to hire talented young researchers eager to tackle AI’s biggest problems. Venture-capital firms jumped at the chance to back him. “Small teams of brilliant young people that are able to look at the problem in a new way—those are the kinds of organizations that actually win,” said Spector, 25 years old. Flapping Airplanes—a reference to the biological cues future AI should take from nature—is part of a new wave of startups some have dubbed “neolabs,” which give priority to long-term research and developing new AI models over immediate profits. The interest in neolabs has skyrocketed as investors hunt for the next OpenAI, which began as a research lab and later became one of the world’s most valuable startups. A large subset of top AI

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Population Growth Slows

Because of immigration restrictions, U.S. population growth slipped to 0.5%. **A3**



GOP’s \$100 Billion Tax Bet: More Refunds, More Votes

By RICHARD RUBIN

WASHINGTON--Republicans and President Trump designed their tax cuts for this moment, creating a refund bonanza that will land in bank accounts well ahead of the midterm elections. The annual tax-filing season that opened Monday will produce a cash surge estimated at \$100 billion beyond last year’s \$329 billion total, and it is engineered to buoy Republicans’ sagging voter approval. Public confidence in Trump’s economic leadership has slumped, and better-than-expected growth hasn’t over-

come Americans’ anxiety about the cost of living and a slowed job market. At stake is whether Republicans can retain narrow House and Senate majorities that give them the authority to control the federal agenda and prevent investigations of Trump. The tax-policy strategy is simple: Put money in voters’ wallets and get rewarded at the polls. In reality, it is a double-bank shot with little guarantee of success. Republicans need the Internal Revenue Service, shrunk by layoffs and retirements, to issue refunds efficiently and

answer taxpayers’ questions promptly. They also must make sure voters know why they are getting more money. And even if larger tax refunds pay immediate political dividends, Republicans need to keep that goodwill at the top of voters’ minds when they go to the polls in November. Republicans are heavily promoting the tax refunds, turning tax season into a showcase for their biggest legislative achievement. The law that Trump signed July 4 included tax breaks for tipped employees, overtime workers, senior citizens, car buyers,

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U.S. Breakup Is Hard For Europeans to Do

European capitals closed ranks to push back against President Trump’s bid to control Greenland, but the Continent’s dependence on the U.S. for security, exports and tech-

For decades, Europe has relied on the U.S. for security, Russia for energy and China as a growing export market. Now it depends on the U.S. for all three. Today, the European Union sends about one-fifth of its exports to the U.S., its biggest international market, and relies on the U.S. for around a quarter of its natural-gas supplies. The large-

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By Tom Fairless in Frankfurt and Kim Mackrael in Brussels

nology mean decoupling from its ally isn’t an option. The reliance puts Europe at a disadvantage in a world of great-power competition and weakens its hand in negotiations with Trump on everything from trade to Greenland and Ukraine.

- ◆ **New Trump threat jolts trade partners.....** A2
- ◆ **EU and India reach deal on free trade.....** A7
- ◆ **Dollar extends slide on comment by Trump.....** B1